

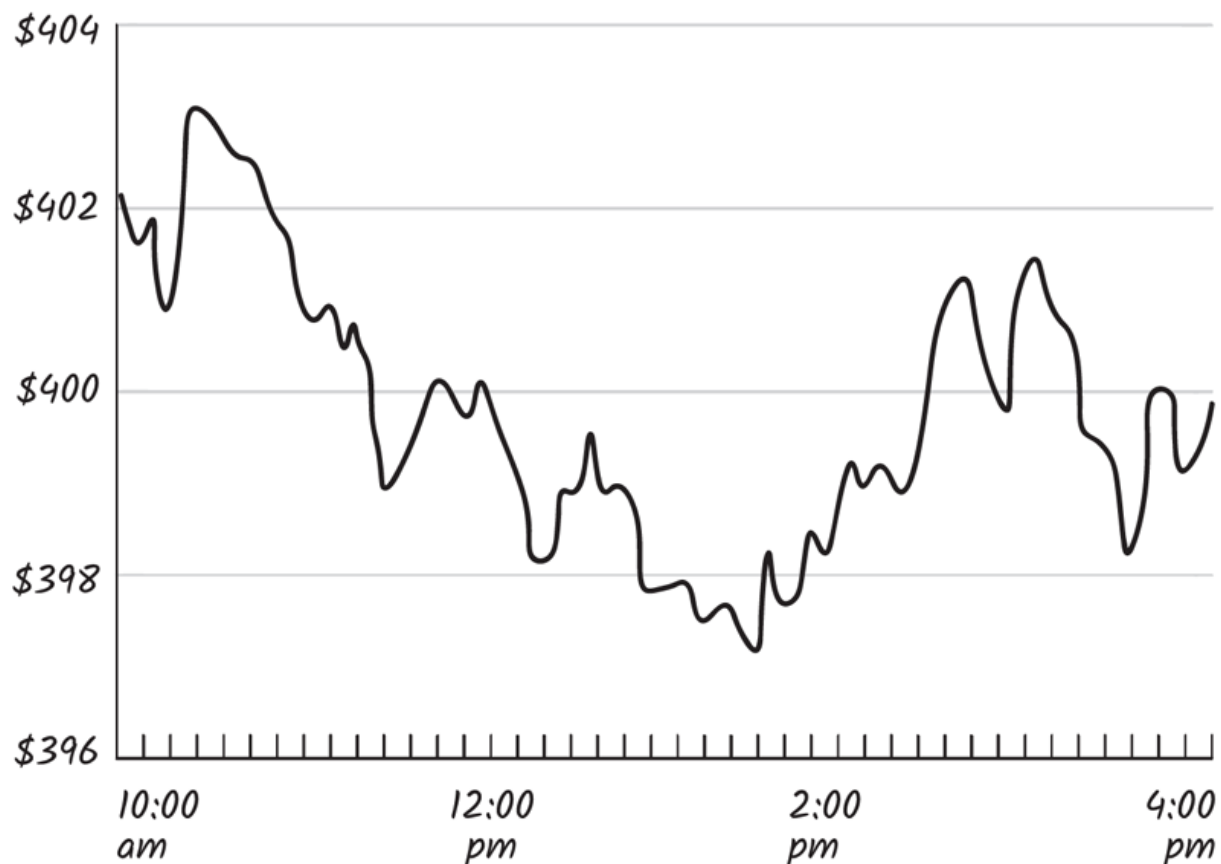


Figure 2.3: a day with the ETF VOO

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The highs and lows on this graph appear scary, yet all it's showing is that if you had one stock of this ETF in the morning it was worth \$403 and by the afternoon it was worth \$397 — losing a mere \$5, or 1.2 per cent in value. Investors in training know the importance of reading the scale when reviewing the performance of shares. It can be the difference between something looking very volatile versus something looking flat, depending on the scale of the Y axis (the vertical axis), as shown in [figure 2.4](#) (overleaf).

Home ownership isn't all roses either. There are also risks that come with it, unlike stocks that can be liquidated quickly into cash if you need it, when it comes to real estate investing you don't get the cash in your wallet until you have sold your asset, which can mean waiting weeks, months or in some cases even years (especially in the luxury market), which is a risk in itself.